

CREDIT CARDS

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EASY ACCESS: Easy-to-use credit cards help consumers buy products online



Rs 4,000 spent on a credit card."

The Indian consumer has come a long way from the time credit cards were launched in the late '80s. The first phase saw "buy now, pay later" gain ground, and the second, in the mid-'90s saw features like free insurance and reward points being layered on. Plastic money has been commoditised even to pay grocery bills. No wonder, the annual spend through cards is almost Rs 55,000 crore, and it is growing at 50 per cent every year. Explains T.R. Ramachandran, head of credit cards division at

Citibank, "Now credit cards are being used not just to pay for the luxury items but also for items of necessity."

The reasons for this boom are many and not merely the push given by banks. But there is no denying that aggressive players like ICICI Bank have changed the rules of the game by giving credit cards free for life. The online travel industry has dramatically pushed up the usage of cards—as it is the only mode of payment here. Perhaps that explains the high spends on travel and hotels, which account for 15 to 17 per cent of the total purchases through credit cards. This

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credit cards are in circulation in India and 3.5 lakh merchants accept these in 150 cities

Rs 55,000

crore is the amount spent through credit cards every year, and it is growing by 50 per cent annually

has spurred credit card sales—growing at 30 per cent annually—in small towns and cities too.

The retail revolution is also beginning to benefit both the consumer and the banks, thanks to affinity cards which come in the form of multiple or a co-branded card. A co-branded card not only yields double benefits to the consumer but also results in better consumer engagement and higher spends on the cards. This has been successful in the case of retail and petro cards. In using a petro card, the consumer gets tangible benefits, which is why fuel spends account for 10 to 11 per cent of the total purchases through cards.

While credit cards are booming, India still remains a cash economy with plastic transactions being a mere 5 per cent of the total. Considering the 220 million-strong mobile phone population, banks and telecom operators are out to partner and create new modes of payment, using cards to enable mobile commerce. For now, it's happy swiping. ■

SANJAY RISHI, American Express, 1999

"A person can go abroad without having to stand in a line for foreign exchange or advance planning."